

11-4b Cooperation and Signaling

Some firms choose to compete, and others choose to cooperate. How do firms signal their intention to cooperate in order to *reduce* competitive intensity? Short of illegally talking directly to rivals, firms have to resort to signaling—that is, “While you can’t talk to your competitors on pricing, you can always *wink* at them.” We outline four means of such winking:

- Firms may enter new markets, not necessarily to challenge incumbents but to seek mutual forbearance by establishing multimarket contact. Thus, MNEs often chase each other, entering one country after another. Airlines that meet in many routes are often less aggressive than airlines that meet in one or a few routes.
- Firms can send an open signal for a truce. As GM faced grave financial difficulties in 2005, Toyota’s chairman told the media *twice* that Toyota would “help GM” by raising Toyota prices in the United States. Toyota’s signal could not have been more unambiguous, short of talking directly to GM, which would have been illegal.
- Sometimes firms can send a signal to rivals by enlisting the help of governments. Although it is illegal to hold direct negotiations with rivals on what constitutes “fair” pricing, holding such discussions is legal under the auspices of government investigations. Thus, filing an antidumping petition or suing a rival does not necessarily indicate a totally hostile intent but rather a signal to talk. When Cisco sued Huawei, Cisco was able to *legally* discuss a number of strategic issues during settlement negotiations, which were mediated by US and Chinese governments. In the end, Cisco dropped its case against Huawei after both firms negotiated a solution.
- Firms can organize strategic alliances with rivals for cost reduction. Although price fixing is illegal, reducing cost by 10% through an alliance, which is legal, has the same impact on the financial bottom line as collusively raising price by 10%.

Overall, because of the sensitive nature of interfirm cooperation designed to reduce competition, we do not know a lot about them. However, to the extent that business is both war and peace, managers need to pay as much attention to making peace with rivals as fighting wars against them.

